Cabinet, and heads of independent agencies.

Together with this report, I am transmitting a report, the Annual Economic Review, January 1952, prepared for me by the Council of Economic Advisers in accordance with section 4 (c) (2) of the Employment Act of 1946.

Respectfully,

HARRY S. TRUMAN.

COMMUNISM—COMMUNICATION FROM MINISTER PLENIPOTENTIARY OF TAIWAN (FORMOSA) PROVISIONAL PROVINCIAL ASSEMBLY

The VICE PRESIDENT. If there be no objection, the Chair lays before the Senate a communication from the Taiwan (Formosa) Provisional Provincial Assembly, the legislative body of that province, relative to cooperation with other nations in fighting communism, and it will be referred to the Committee on Foreign Relations. The Chair hears no objection.

REORGANIZATION PLAN NO. 1 OF 1952, RELATING TO INTERNAL REVENUE BUREAU—LETTER FROM SECRETARY OF THE TREASURY

The VICE PRESIDENT. The Chair has received a letter from the Secretary of the Treasury in regard to Reorganization Plan No. 1, recently sent to the Congress, pertaining to the Internal Revenue Bureau. For the information of the Senate, the Chair will ask the clerk to read the letter, and it will be referred to the Committee on Expenditures in the Executive Departments.

The letter was read by the legislative clerk and referred to the Committee on Expenditures in the Executive Departments, as follows:

JANUARY 15, 1952.

THE VICE PRESIDENT,
The Capitol, Washington, D. C.

MY DEAR MR. VICE PRESIDENT: Newspaper reports and comments evidence some basic misconception of the effect of the President's Reorganization Plan No. 1 for the Bureau of Internal Revenue. This misconception is that the President's proposal would have the effect of turning over the operating functions now performed in the field by collectors of internal revenue to not more than 25 district offices, and hence deprive some localities of facilities now available to them.

The President and I are both anxious that it be clear that existing functions of collectors of internal revenue, and additional functions not now available at the local level of each State will be performed at local offices with at least one such fully authorized local office in each State, and in more populous States more than one.

The misconception as to maintenance of local collection offices apparently arose from the hasty conclusion that the newly proposed offices of district commissioners, to number not more than 25, were to supplant local collection offices. The fact is that the district commissioners will be area officers, to effect more complete decentralization to the field of Bureau functions now performed or supervised in Washington. As part of this area decentralization, there will be deputy district commissioners, with at least one for each State, and in more populous States more than one, who will take over the functions now performed by collectors in each State, and in addition bring to the taxpayer at the local level many additional services and functions that are not now available to him in his State.

I can understand that the misconception on this important aspect of the plan may have arisen from the technical form in which the reorganization plan must be presented to the Congress. It was made clear in the statement of the President, issued on January 2, and again in his message to the Congress presented yesterday, that some of the basic structural changes contemplated in the reorganization must be effectuated by a plan of reorganization presented to the Congress, while other changes can be effectuated by use of reorganization powers of the Secretary of the Treasury under Reorganization Plan No. 26 of 1950.

From the first announcement of the plan by the President and in the information furnished to the Congress, it has been made clear that local offices will be retained not only to continue their existing functions, but to bring increased functions and responsibilities to the local area.

Thus in the reorganization message presented by the President to the Congress yesterday, it was said:

"All essential collection, enforcement and appellate functions can be provided for in each local area and under one roof so far as is practicable. It is not proposed to discontinue any essential facilities which now exist in any local areas. Rather the facilities will be extended and the service to taxpayers improved. These new arrangements should make it possible for the individual taxpayer to conduct his business with the Bureau much more conveniently and expeditiously."

Moreover, in the statement of the President issued January 2, 1952, it was said: "Taxpayers hereafter can look to the district commissioner or his local representative as the official in complete charge of all Federal tax matters in the district."

The local representative would be the deputy district commissioner, with at least one such office in each State, performing all the functions now performed by the collector and bringing additional functions to the local area.

Reference to the explanatory material which was sent to you and other Members of the Congress under date of January 7, 1952, will further evidence this basic part of the proposed reorganization. In the statement with that letter, entitled "General Nature of the Reorganization Plan," it was said: "The district commissioners will carry out their responsibilities through direct line officer control of deputy district commissioners, with at least one such officer for each State, and in the more populous States more than one."

The plan was conceived with the purpose of bringing greater convenience and greater facilities to the taxpayer at the local level; to provide at the local level functions to which the taxpayer must now have distant resort, such as to officers of revenue agents in charge, special agents in charge, appellate officers, etc. These offices and their functions are now scattered in varying districts over the country, in fewer locations than contemplated through the new set-up of district commissioners and deputy district commissioners.

I feel that this essential purpose of increased taxpayer convenience, plus the other advantages of the plan in an improved career service, more effective inspection service, and greater decentralization of functions from Washington to the field with clear direct channels of responsibility, are sufficiently meritorious that it would be unfortunate if they were not made clearly understood at the outset in the consideration of the plan.

Very truly yours,

JOHN W. SNYDER,
Secretary of the Treasury.

ESTABLISHMENT OF RELATIONS BETWEEN JAPAN AND NATIONALIST CHINA

Mr. SPARKMAN. Mr. President, a parliamentary inquiry.

The VICE PRESIDENT. The Senator will state it.

Mr. SPARKMAN. Would it be in order for me to proceed for about 2 minutes at this time?

The VICE PRESIDENT. Only by unanimous consent.

Mr. SPARKMAN. Mr. President, I ask unanimous consent that I may proceed for not more than 3 minutes.

The VICE PRESIDENT. Without objection, the Senator from Alabama may proceed.

Mr. SPARKMAN. Mr. President, I shall ask unanimous consent to have printed in the RECORD at the end of my remarks a letter addressed to Hon. John Foster Dulles by the Prime Minister of Japan, which has just been made public.

I am making this statement, Mr. President, on behalf of the Senator from New Jersey [Mr. SMITH] and myself. I think it is of considerable importance on the eve of the consideration by the Senate of the Japanese Peace Treaty.

I call the attention of the Senators to the fact that the letter is dated December 24, 1951, but it was released in Japan at midnight last night by the Prime Minister himself; therefore I think it is appropriate that we give it a bit of attention at this time.

I shall not take time to read the letter in full, Mr. President, inasmuch as I shall ask that it be incorporated in the RECORD as a part of my remarks, but I wish to call attention to the fact; that in this letter the Prime Minister of Japan gives positive assurance that his Government, as soon as it is legally possible, will enter into a treaty of peace with Nationalist China. That was a matter of considerable discussion during the time the Senator from New Jersey [Mr. SMITH], Mr. Dulles, and I were in Japan in December. As a matter of fact, I suppose it is the one item which arose more often than any other.

Mr. President, this act on the part of the Prime Minister of Japan is an act of courage on his part, because there are many people in Japan, many in his own Government, who probably feel that this step should not be taken, certainly not unless the United States and Great Britain are able to present a united front in favor of such action.

We know that this did not accord with the wishes of Great Britain. It does accord with the wishes of the United States Government, which the Senator from New Jersey [Mr. SMITH], Mr. Dulles, and I did our best to make known to the Japanese Government and the Japanese people while we were in Japan.

I think this is a fine act on the part of the Prime Minister of Japan. I think it is one which should mean much to us in the consideration of the Japanese Peace Treaty.

Mr. President, I ask unanimous consent that the letter be published in toto at this point in the RECORD.

The VICE PRESIDENT. Is there objection?

There being no objection, the letter was ordered to be printed in the RECORD, as follows:

JANUARY 16, 1952.

Following is the text of a letter from Shigeru Yoshida, Prime Minister of Japan, to John Foster Dulles which was made public by the Prime Minister last night (January 16, Tokyo time):

THE GAIMUSHO,
December 24, 1951.

His Excellency JOHN FOSTER DULLES,
The Department of State,
Washington, D. C.

DEAR AMBASSADOR DULLES: While the Japanese Peace Treaty and the United States-Japan Security Treaty were being debated in the House of Representatives and the House of Councilors of the Diet, a number of questions were put and statements made relative to Japan's future policy toward China. Some of the statements, separated from their context and background gave rise to misapprehensions which I should like to clear up.

The Japanese Government desires ultimately to have a full measure of political peace and commercial intercourse with China which is Japan's close neighbor.

At the present time it is, we hope, possible to develop that kind of relationship with the National Government of the Republic of China, which has the seat, voice and vote of China in the United Nations, which exercises actual governmental authority over certain territory, and which maintains diplomatic relations with most of the members of the United Nations. To that end my Government on November 17, 1951, established a Japanese Government Overseas Agency in Formosa, with the consent of the National Government of China. This is the highest form of relationship with other countries which is now permitted to Japan, pending the coming into force of the multilateral treaty of peace. The Japanese Government Overseas Agency in Formosa is important in its personnel, reflecting the importance which my Government attaches to relations with the National Government of the Republic of China. My Government is prepared as soon as legally possible to conclude with the National Government of China, if that government so desires, a treaty which will reestablish normal relations between the two Governments in conformity with the principles set out in the multilateral treaty of peace. The terms of such bilateral treaty shall, in respect of the Republic of China, be applicable to all territories which are now, or which may hereafter be, under the control of the National Government of the Republic of China. We will promptly explore this subject with the National Government of China.

As regards the Chinese Communist regime, that regime stands actually condemned by the United Nations of being an aggressor and in consequence, the United Nations has recommended certain measures against that regime, in which Japan is now concurring and expects to continue to concur when the multilateral Treaty of Peace comes into force pursuant to the provisions of article 5 (a) (iii), whereby Japan has undertaken to give the United Nations every assistance in any action it takes in accordance with the Charter and to refrain from giving assistance to any state against which the United Nations may take preventive or enforcement action.' Furthermore, the Sino-Soviet Treaty of Friendship, Alliance and Mutual Assistance concluded in Moscow in 1950 is virtually a military alliance aimed against Japan. In fact there are many reasons to believe that the Communist regime in China is backing the Japan Communist Party in its program of seeking violently to overthrow the constitutional system and the present Government of Japan. In view of these considerations, I can assure you that the Japanese Government has no intention to conclude a bilateral Treaty with the Communist regime of China.

Yours sincerely,

SHIGERU YOSHIDA.

Mr. SMITH of New Jersey. Mr. President, I ask unanimous consent that I may speak briefly on the same subject.

The VICE PRESIDENT. Is there objection? The Chair hears none, and the Senator from New Jersey may proceed.

Mr. SMITH of New Jersey. I merely wish to take this occasion to pay tribute to Mr. John Foster Dulles and also to my distinguished colleague the Senator from Alabama [Mr. SPARKMAN], with whom I had the privilege of working on this important matter during our recent trip to Japan. The Senator from Alabama and I are members of the Far Eastern Subcommittee of the Committee on Foreign Relations, and at the suggestion and invitation of Mr. Dulles we accompanied him to Japan because we felt it was most important that our colleagues in the Senate should understand, when the peace treaty comes before the Senate for ratification, whether the new Japanese Government is going to recognize one Chinese Government or the other.

The letter of the Japanese Prime Minister is an assurance that the new Japanese Government intends to enter into a peace treaty with Nationalist China and to reject any possible negotiations for recognition of Communist China.

The VICE PRESIDENT. The time of the Senator from New Jersey has expired.

Mr. KNOWLAND. Mr. President, I ask unanimous consent that the Senator from New Jersey yield for a brief question and answer.

The VICE PRESIDENT. Is there objection? The Chair hears none.

Mr. KNOWLAND. I should like to say to the Senator from New Jersey that I think this is a very significant step which has been taken by the Prime Minister of Japan on behalf of the Japanese Government.

I should like to ask the Senator from New Jersey if he does not feel that this very clear-cut statement that the Government of Japan, as soon as it is able to do so under the treaty, will enter into a treaty with the Government of the Republic of China, will remove to a large extent certain objections which had been raised on the floor of the Senate to the possible ratification of the Japanese Treaty?

Before the Senator answers the question, I should like to say that it seems to me that there is no reason now why the Japanese Peace Treaty should not be promptly ratified by an overwhelming vote of the Senate of the United States.

Mr. SMITH of New Jersey. I thank the Senator from California, and I ask if I may have a moment to answer his question.

The VICE PRESIDENT. Is there objection? The Chair hears none.

Mr. SMITH of New Jersey. I wish to assure the Senator from California that because the Senator from Alabama [Mr. SPARKMAN] and the Senator from New Jersey thought the question of the recognition of the Nationalist Government in China by Japan would be one of the difficulties encountered in the ratification of the Japanese Treaty by the Senate, we accepted an invitation by Mr. John Foster Dulles to visit Japan. I agree that it is an assurance for which we have been hoping, one which will reassure our colleagues of the purpose of the Japanese Government as soon as the peace treaty is ratified.

I myself feel a sense of gratification that this has happened, and also a sense of gratification that I have been privileged to have a part in these interesting negotiations. Beyond that it was an opportunity for us on both sides of the aisle to work together for a common objective, which I am sure all our colleagues will agree was a worth-while objective to have been sought, and will rejoice with us in its consummation.

I thank the Senator from California for his suggestion.

TRANSACTION OF ROUTINE BUSINESS

Mr. McFARLAND. Mr. President, I ask unanimous consent that Senators be permitted to present petitions and memorials, introduce bills and joint resolutions, and submit routine matters for the RECORD, without debate and without speeches.

The VICE PRESIDENT. Without objection, it is so ordered.

EXECUTIVE COMMUNICATIONS, ETC.

The VICE PRESIDENT laid before the Senate the following letters, which were referred as indicated:

REPORT OF RURAL ELECTRIFICATION ADMINISTRATION

A letter from the Secretary of Agriculture, transmitting, pursuant to law, a report of the Rural Electrification Administration, for the fiscal year 1951 (with an accompanying report); to the Committee on Agriculture and Forestry.

REPORT OF COOPERATIVE EXTENSION WORK IN AGRICULTURE AND HOME ECONOMICS

A letter from the Acting Secretary of Agriculture, transmitting, pursuant to law, a report of Cooperative Extension Work in Agriculture and Home Economics, for the calendar year 1950 (with an accompanying report); to the Committee on Agriculture and Forestry.

REPORT OF ACTIVITIES UNDER SOIL CONSERVATION AND DOMESTIC ALLOTMENT ACT

A letter from the Acting Secretary of Agriculture, transmitting, pursuant to law, a report of operations, expenditures and obligations under the Soil Conservation and Domestic Allotment Act, for the fiscal year ended June 30, 1951 (with an accompanying report); to the Committee on Agriculture and Forestry.

REPORT OF ACTIVITIES UNDER RESEARCH AND MARKETING ACT

A letter from the Acting Secretary of Agriculture, transmitting, pursuant to law, a report on cooperative research, service, and educational work under the Research and Marketing Act, for the fiscal year 1951 (with an accompanying report); to the Committee on Agriculture and Forestry.

REPORT ON AGREEMENTS ENTERED INTO BY NAVY DEPARTMENT RELATING TO NAVAL PETROLEUM RESERVES

A letter from the Director, Naval Petroleum Reserves, Navy Department, reporting, pursuant to law, agreements entered into